Personal Loan Policy

Riyadh Trust Bank — Synthetic Demo Document, not a real bank.
Document: Personal Loan Policy | Version: 1.0 | Department: Retail Banking | Effective: January 2026 | Review: January 2027

1. Purpose

This Personal Loan Policy explains who can get a personal loan from Riyadh Trust Bank, how much they can borrow, what it costs, and how the loan is repaid. It covers personal loans and home loans offered to individual customers. Business loans are covered by a separate policy.

2. Who Can Apply

To apply for a personal loan, the customer must be at least 21 years old and no older than 60 years at the end of the loan term. The customer must be a Saudi national or a resident with a valid Iqama and at least one year remaining on it. The customer must have a salary account with the bank, or must agree to transfer their salary to the bank before the loan is paid out. The customer must have been employed with the same employer for at least three months, or self-employed for at least two years with proof of income.

3. Loan Amount and Term

The minimum personal loan is SAR 5,000 and the maximum is SAR 250,000. The maximum amount also depends on the customer's monthly salary: the total monthly instalment for all loans must not exceed 33 percent of the customer's monthly salary. The loan term is between 12 months and 60 months. A home loan is larger and longer and is approved separately under the Home Loan Procedure.

4. Profit Rate and Fees

The bank charges a fixed annual profit rate, which is shown on the loan offer and does not change during the loan term. The current indicative rate for a personal loan is 5.5 percent per year, but the exact rate depends on the customer's risk rating and the loan term, and the final rate is always the rate written on the signed offer. There is an administrative fee of 1 percent of the loan amount, with a maximum of SAR 5,000. There is no fee for early settlement after the first year, but a fee of one month's profit applies if the loan is settled within the first year.

5. Documents Required

The customer must provide a valid National ID or Iqama, a salary certificate or employment letter dated within the last 30 days, a bank statement for the last three months if the salary is not already with the bank, and the completed loan application form. For a home loan, the customer must also provide the property title deed and a valuation report.

6. Approval Process

The branch officer checks the documents and enters the application into the system. The system checks the customer's credit history with the Saudi Credit Bureau (SIMAH) and calculates the debt burden ratio. If the ratio is above 33 percent, the application is declined. If the ratio is acceptable, the application goes to the credit team, which approves or declines it within three working days. The customer is informed by SMS and by a phone call. No loan may be paid out before the customer signs the loan contract.

7. Repayment and Late Payment

Repayment is by monthly instalment, deducted automatically from the customer's salary account on the same day each month. If an instalment is late by more than 7 days, a late fee of SAR 50 applies and the credit team is notified. If three instalments are missed in a row, the loan is treated as in default and the bank may take legal action. The customer may ask for a rescheduling of the loan once during the loan term, if they can show a genuine reason such as job loss or medical emergency.

8. Customer Rights

The customer has the right to receive a copy of the loan contract, to know the total cost of the loan before signing, to complain if they are treated unfairly, and to settle the loan early. The bank must not pressure the customer to take a loan they do not need.

Arabic Summary

ملخص عربي

تشرح هذه السياسة شروط القرض الشخصي: العمر من 21 إلى 60 سنة، والحد الأدنى 5,000 ريال والحد الأقصى 250,000 ريال، وألا يتجاوز القسط الشهري ٪33 من الراتب. معدل الربح السنوي الاسترشادي ٪5.5، ورسم إداري ٪1 بحد أقصى 5,000 ريال. تُدفع الأقساط شهرياً، ويُطبق رسم تأخير 50 ريالاً بعد 7 أيام.